Value added tax

Content

F Value added tax (VAT)

1. The VAT registration requirements
2. The computation of VAT liabilities
3. The effect of special schemes

1. Nature and scope of VAT

1.1 VAT introduction

VAT is charged on turnover of business sales at each stage in a production proceeds, but in such a way that the burden is borne by the final consumer. VAT is an indirect tax on consumption.

1. Nature and scope of VAT

Lecture illustration

	Supply		Supply		Supply	
Material supplier	⟶	Manufacturer	⟶	Distributor	⟶	Consumer
Exclusive price	£200		£300		£400	
VAT (20%)	£40		£60		£80	

1. Nature and scope of VAT

1.2 Scope of VAT

VAT is charged on taxable supplies of good and services made in the UK by a taxable person.

A taxable person is a VAT-registered business.

Business includes:

Sole trader, Partnership, Company

Therefore, a VAT-registered business:

- Must charge VAT on their goods or services
- May reclaim any VAT they have paid on business-related goods or services

2. Tax rate

Supply		VAT Rate	Examples
Taxable supplies	Standard rate	20%	Most goods/services
	Zero rate	0%	Non luxury food, books, children's clothes and footwear, transport (not taxi)
Exempt supplies	No output VAT chargedNo input VAT reclaimed		Financial services, insurance, betting and gaming, burial, cremation services, health services, non-profit-making education, public postal services

3. VAT registration

3.1 Compulsory registration

3.1.1 Historical test

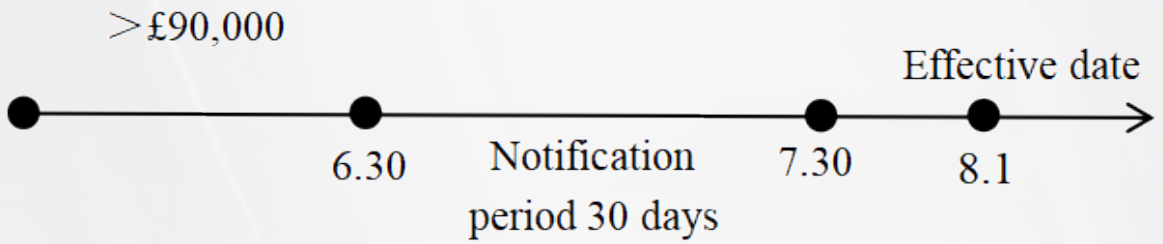
A business becomes liable to register for VAT if its cumulative taxable turnover (excluding VAT) was over £90,000 for the last 12 months.

The business has to notify within 30 days of the end of the month when the £90,000 is exceeded.

The effective date of registration is the first day of the second month after £90,000 is exceeded.

3. VAT registration

Lecture illustration



Lecture example 1

Jack commenced trading on 1 January 2025. His quarterly exclusive turnover (spread evenly over the quarter) is as follows:

Quarter ended	Turnover
31 March 2025	£7,500
30 June 2025	£13,500
30 September 2025	£18,000
31 December 2025	£21,000
31 March 2026	£30,000
30 June 2026	£39,000

By which date is Jack required to notify HMRC, and from what date should he be registered for VAT?

3. VAT registration

3.1.2 Future test

If a trader expects his VAT taxable supplies (excluding VAT) to be more than £90,000 in the next 30-day period, he becomes liable to register for VAT.

The notification to HMRC must be made by the end of the 30-day period.

The effective date of registration is the first day of that 30-day period.

Lecture example 2

Road Ltd has been trading for many years. On 1 May 2025, Road Ltd received an order to provide £56,000 of general food and £48,000 of luxury food to customers by 25 May 2025.

All figures are exclusive of VAT.

State the deadline of notification and effective date of VAT registration for Road Ltd.

3. VAT registration

3.2 Voluntary registration

A business may register voluntarily if business doesn’t meet historical test or future test.

Advantages

Enables the business to reclaim input VAT on purchases.

Imposes discipline on the business to keep accurate records.

Disadvantages

Increases administrative costs.

Reduces the competitive edge.

3. VAT registration

3.3 Group registration

3.3.1 Condition

- Two or more companies can register as a VAT group if:

  Each body is resident in the UK

  Under common control (> 50%)

- Not all businesses in the group have to join the VAT group.
- Sole trader or partnership under control could also join the group.

3. VAT registration

3.3 Group registration

3.3.2 Effect

- A VAT group is treated as if it is a single company for the purposes of VAT.
- Allows group companies to nominate one company in the group to prepare one VAT return for the companies in the group (the 'representative member’.)
- All members of group registration are jointly and severally liable for VAT liability.
- Intra-group transactions are disregarded for VAT purposes.
- Simplifies VAT accounting, saving administrative costs.

4. VAT deregistration

4.1 Compulsory deregistration

A business ceases to make taxable supplies, it must deregister.

4.2 Voluntary deregistration

If a business expects the value of VAT exclusive taxable supplies in the next year will not exceed £88,000, the business may deregister.

4. VAT deregistration

4.3 Effect of deregistration

All stocks and capital assets on which input tax was claimed the output tax should be paid when business deregistration.

If the VAT chargeable does not exceed £1,000, no payment is needed.

When transfer of a business as a going concern, sell of inventory and non-current assets will not charge output VAT.

5. Calculation of VAT payable

	£
Output VAT	X
Input VAT	(X)
VAT payable/repayment	X/(X)

Standard rate supply:

不含税价：Output/Input VAT = VAT exclusive amount × 20%

含税价：Output/Input VAT = VAT inclusive amount × $\frac{1}{6}$

5. Calculation of VAT payable

5.1 Output VAT

Output VAT on taxable supplies must be charged.

5.1.1 Discount

If a discount is offered to receive payment quickly, output VAT is chargeable on the actual amount received.

5. Calculation of VAT payable

5.1.2 Gift of goods and services

Gift of goods are normally treated as sale at replacement cost. The output VAT must be calculated on this amount.

However, no output VAT is accounted for business gift of goods if:

- The total cost of gifts made to the same person does not exceed £50 in any 12 months period, or
- The gift is a sample

There is generally no output VAT on services supplied free of charge, regardless of whether they are supplied to an employee or a customer.

5. Calculation of VAT payable

5.2 Input VAT

5.2.1 Goods/Services for business use

Input VAT is recovered on goods and services purchased for use in business.

A valid VAT invoice is needed to support the claim.

Input VAT cannot be claimed in respect of goods or services that are used for private purposes.

An apportionment is made where goods or services are used partly for business and partly for private purposes.

Input VAT not recovered is treated as cost.

5. Calculation of VAT payable

5.2 Input VAT

5.2.2 Car

- **Purchase of a car**

Wholly for business use: 100% input tax & output on sale

Any private use by anyone: No input tax & no output on sale

5. Calculation of VAT payable

5.2 Input VAT

5.2.2 Car

- **Leased car**

  Wholly for business use: 100% input tax

  Any private use by anyone: 50% input tax

- **Repair and maintenance of car**

  Business use exists on the car:

  Input VAT can be fully recovered

5. Calculation of VAT payable

5.2 Input VAT

5.2.3 VAT on business Entertaining

Input VAT incurred on staff entertaining and entertaining overseas customers is recoverable.

Input VAT incurred on entertaining UK customers is not recoverable.

5. Calculation of VAT payable

5.2 Input VAT

5.2.4 Impairment losses relief

Relief for impairment losses is only available if the two conditions are met:

- Debt has been written off
- Debt is over 6 months old (from the time that payment was due to the ending date of VAT period)

The amount claimed should be included in the input tax in VAT period which is entitled.

Lecture example 3

Chad is a sole trader and is registered for value added tax for many years. He is in the process of completing his VAT return for the quarter ended 30 June 2025. The following information is available. (all figures are inclusive of VAT)

(1) Cash sales amounted to £51,500, of which £33,600 was in respect of standard rate sales and £17,900 was in respect of zero-rated sales.

(2) Sales invoices totaling £18,000 were issued in respect of credit sales. These sales were all standard rated. Chad gives his customers a 6% discount for payment within 30 days of the date of the sales invoice, and 85% of the customers pay within this period.

Lecture example 3

(3) Purchase and expenses invoices totaling £21,200 were received from VAT registered suppliers. This figure is made up as follows:

Standard rated purchases and expenses	£12,120
Zero rated purchases	£6,500
Exempt expenses	£2,600

(4) On 30 June 2025 Chad wrote off impairment losses in respect of three invoices that were due for payment on 18 November 2024, 21 December 2024 and 25 January 2025 respectively, the amount of output VAT originally paid in respect of each invoice was £450.

What is the amount of VAT payable?

5. Calculation of VAT payable

5.2.5 Fuel

Fuel for business use by employee

Input VAT is fully recoverable.

Fuel for private use by employee

Company pays all fuel. Options as follow:

- No Input tax and output tax claimed, or
- Input tax = Business fuel × rate, No output tax, or
- Input tax = Full Amount × rate,

  Output tax = Private fuel× rate, or = Scale Charge × rate

5. Calculation of VAT payable

Lecture illustration

Dan is an employee of BBT Ltd. He has the use of a car which is used for both business and private mileage for the quarter ended 31 March 2026.

BBT Ltd pays all the petrol costs in respect of the car, totaling £1,200 of which 20% is for private mileage.

The relevant quarterly scale charge is 517.

Both figures are inclusive of VAT.

5. Calculation of VAT payable

Lecture illustration

Options:

a. No Input & Output

b. Input VAT = 1,200 × 80% × $\frac{1}{6}$ = £160 No output

c. Input VAT =1,200 × $\frac{1}{6}$ = £200

Output VAT =517 × $\frac{1}{6}$ = £86

5. Calculation of VAT payable

5.2.6 Pre-registration input VAT

In following situation, business could reclaim VAT paid on goods or services bought before registration in the first return period:

- Goods bought for business within four years prior to registration and still in business.
- Services supplied for business within 6 months prior to registration.

Lecture example 4

Bilbo Ltd commenced trading on 1 August 2025 and applied to register for VAT with effect from 1 October 2025.

	£
Accountancy fees – invoice dated 10 March 2025	5,000
Plant purchased on 23 June 2025	8,000
Stock purchased on 30 September 2025	12,000

Prior to registration, they had incurred VAT on the following VAT exclusive amounts:

Assuming the plant and stock are still held on 1 October 2025, calculate input VAT Bilbo Ltd could claim in respect of these items.

6. VAT administration

6.1 VAT period

A VAT period is the period of time over which a VAT return is made.

VAT returns are normally made on a quarterly basis.

However, there are also monthly return and annual return options.

(i.e., A business with frequent VAT repayment can elect for monthly VAT return. Small businesses meeting the conditions can opt in the annual accounting scheme to make annual returns. (7.2 in this chapter))

6. VAT administration

6.2 Tax point

The tax point is the deemed date of supply.

It determines the VAT period in which a VAT should be accounted for.

The basic tax point: supply date

Date on which the goods are made available.

Date on which services are completed.

The actual tax point

VAT invoice is issued or payment is received before the basic tax point, the invoice date or payment date.

VAT invoice is issued within 14 days after the basic tax point, the invoice date.

Lecture example 5

Shelly is a sole trader. Her VAT returns are made up to calendar quarters. She sold a painting to her customer for £2,000. A deposit of £300 was received on 22 March 2025. The painting was delivered to customer on 26 April 2025. She received the remaining payment and issued an invoice on 3 May 2025. All figures are exclusive of VAT.

Outline the tax points and amounts due.

6. VAT administration

6.3 VAT Invoice

Invoice						
Invoice Address: **2nd Street** **Manchester, UK**		**Delivery Address:** **2nd Street** **Manchester, UK**		**Invoice date: XX/XX/XXXX** **Supply date: XX/XX/XXXX**		
				Invoice number: XXXXXX01		
Product No.	**Description**	**Quantity**	**Unit Price £**	**VAT**	**Rate %**	**Total Price £**
00001	Shorts	1	100	20	20	120
00002	Jumper	1	200	40	20	240
00003	Trousers	1	300	60	20	360
00004	Socks	1	400	80	20	480
00005	Coat	1	500	100	20	600

	£
Product Total	1,500
VAT Amount	300
Total	**1,800**

ABC Ltd, 1st Avenue, London, UK
VAT Registration Number: GB1234567890

6. VAT administration

6.3 VAT Invoice

If a VAT registered business makes a standard supply to another VAT registered business, a VAT invoice should be issued within 30 days of the time of supply, and a copy must be kept.

A VAT invoice is the primary evidence that allows a VAT registered business to recover the input VAT on purchases.

6. VAT administration

6.3 VAT Invoice

Simplified Invoice			
Date: XX/XX/XXXX			**Invoice No: XXXXXX01**
Product No.	**Description**	**Quantity**	Total
00001	Tissue	4	£12
00002	Towel	1	£24
		Total	**£36**

VAT Rate	**VAT**	**Gross**
20%	£6	£36

ABC Ltd, 1st Avenue, London, UK
VAT Registration No: GB123456789

6. VAT administration

6.3 VAT Invoice

A VAT invoice contains some information required by the VAT rules.

If the total value including VAT is no more than £250, simplified invoice may be issued. Exempt supplies must not be included in this type of VAT invoice.

6. VAT administration

VAT invoice must include	VAT invoice	VAT Simplified invoice
Unique invoice number （发票号）	√	
Date of invoice （开票日）	√	
Date of supply （销售日）	√	√
Supplier's business name and address （销售方的名称和地址）	√	√
Supplier's VAT registration number （销售方增值税注册号）	√	√
Customer’s name and address （购买方的名称和地址）	√	
Description of the goods or services （货物描述等信息）	√	√
Quantity of each type of item （数量）	√	
Price per item, excluding VAT （不含税价格）	√	
Rate of VAT charged per item （每种商品或服务的税率）	√	
Rate of VAT charged （商品或服务的税率）		√
Total amount excluding VAT （不含税总销售额）	√	
Total amount of VAT （增值税总额）	√	

6. VAT administration

6.4 VAT Return

All businesses must file VAT returns online and make payments electronically.

Deadline is one month plus seven days after the end of the VAT period.

Records must be kept up-to-date and must be preserved for six years.

VAT registered businesses with a taxable turnover of more than £90,000 must follow the rules for ‘Making Tax Digital’ for VAT by keeping some records digitally.

6. VAT administration

6.5 Late filing and late payment

There are separate sets of penalties for each type of lateness.

- Late filing penalty (points-based)
- Late payment penalty
- Late payment interest

Late filing and late payment penalties will not be charged if the business has an acceptable reason for the lateness (i.e. the sole trader stayed in ICU because of an accident).

6. VAT administration

6.5.1 Penalties for late filing (submission)

Late submission penalties work on a points-based system.

A business receives a penalty point each time a VAT return is submitted late.

If a penalty point threshold of four is reached, a £200 penalty is then charged.

Further £200 penalty for each subsequent late submission will be charged.

Penalty points automatically expire after two years.

However, once the threshold has been reached, the points do not expire. A business has to submit VAT returns on time over a period of twelve months (four quarterly returns) for their penalty points total to be reset to zero.

6. VAT administration

6.5.2 Penalties for late payment

Each late payment is considered separately.

Days late	Penalty
Up to 15 days	None
16 to 30 days	3%
More than 30 days	6% + further 10% daily penalty*

*In addition, a daily penalty at an annual rate of 10% is charged beginning from the 31st day.

Further 10% daily penalty= VAT overdue×10%×(n-30)/365

n = number of days late

6. VAT administration

6.5.3 Interest for late payment

Apart from the penalties above, late payment will also result in interest (8.50%) being charged from the due date until the date that the VAT liability is paid.

Lecture example 6

Gegeda is always reluctant to paying her VAT on time. The returns and payments of VAT liabilities were as follows:

Quarter ended	VAT due £	Days late
30 April 2025	30,000	12
31 July 2025	33,000	55
31 October 2025	23,000	16
31 January 2026	49,000	7

Outline the consequence of these late returns and late payments.

6. VAT administration

6.6 Amendment and penalties for errors

6.6.1 Amendment

When errors in returns for the preceding 4 years of the beginning of current VAT period are discovered, a business can correct the mistake by either:

a. Including the net value of the adjustment in the VAT return in the period of discovery, as long as the mistakes are not deliberate and the net value of the errors does not exceed the greater of:

- £10,000
- 1% × VAT exclusive turnover of return period (upper limit of £50,000)

b. Otherwise, reporting the errors to HMRC separately in writing.

6. VAT administration

6.6.2 Penalties for errors

Penalties for errors occur on VAT return are just like individual has errors on tax return.

6.6.3 Interest on errors

If a business made an error and is not permissible to make adjustment in the next return, HMRC may charge interest on errors resulting in owing VAT to HMRC.

A business may claim interest from HMRC due to overpaid tax because HMRC made an error.

Interest runs from the date the VAT should have been paid to the actual date of payment.

7. VAT scheme

7.1 Cash accounting scheme

This scheme enables businesses to account for VAT on a cash basis.

7.1.1 Conditions

- Join: estimated VAT taxable turnover (exclusive VAT) in the next 12 months ≤ £1.35 million; VAT returns and payments are up to date
- Leave: VAT taxable turnover (exclusive VAT) in 12 months ending at the end of a tax period > £1.6 million

7. VAT scheme

7.1.2 Effect

- Input VAT is accounted when payment is made to suppliers
- Output VAT is accounted when cash is received from customers

7.1.3 Advantage

- Impairment loss relief is automatic
- Do not have to pay the output VAT if customer never pays

7.1.4 Disadvantage

- Input VAT only be recovered when the invoice is paid, this delays recovery of input VAT
- It is not suitable for those businesses who has lots of cash sales or zero-rated supplies

7. VAT scheme

7.2 Annual accounting scheme

7.2.1 Conditions

- Join: estimated VAT taxable turnover (exclusive VAT) in the next 12 months ≤ £1.35 million; VAT payments are up to date
- Leave: VAT taxable turnover at the end of the annual accounting year > £1.6 million

7. VAT scheme

7.2 Annual accounting scheme

7.2.2 Effect

- Only one return required each year
- 9 payments are made from end of 4th months to 12th of the year
- Each payment = 10% × previous year's VAT payable
- An annual VAT return must be submitted to HMRC along with any balancing payment due within two months of the end of the year

7. VAT scheme

7.2.3 Advantage

- Reducing chances of being charged penalties for late return and late payment
- Cash flow could be managed easily
- No quarterly calculation of VAT input

7.2.4 Disadvantage

- Payment of output VAT is not matched with turnover
- The nine payments are based on VAT liability of previous year, it may not reflect liability of current year

7. VAT scheme

Lecture illustration

BOL Ltd has joined the annual accounting scheme.

For the year 2025.1.1 to 2025.12.31, BOL Ltd has VAT payable of £5,600. For the year 2026.1.1 to 2026.12.31, BOL Ltd has VAT payable of £6,380.

7. VAT scheme

Lecture illustration

Due date	£
2026.4.30	5,600×10%=560
2026.5.31	5,600×10%=560
2026.6.30	5,600×10%=560
2026.7.31	5,600×10%=560
2026.8.31	5,600×10%=560
2026.9.30	5,600×10%=560
2026.10.31	5,600×10%=560
2026.11.30	5,600×10%=560
2026.12.31	5,600×10%=560
Total payment on account	5,040
Balancing payment on 2027.2.28	6,380 — 5,040=1,340

7. VAT scheme

7.3 Flat Rate Scheme

The business may use flat rate scheme to simply the calculation of VAT.

7.3.1 Conditions

- Join: Tax exclusive taxable turnover for the next 12 months ≤ £150,000
- Leave: Total value of its VAT inclusive supplies (excluding sales of capital assets) in the year > £230,000

7. VAT scheme

7.3.2 Effect

VAT payable = Total VAT inclusive turnover (Standard + Zero + Exempt Supplies)

× Rate%

7.3.3 Advantage

- Simplifies the way in which very small businesses calculate VAT liability
- If a business could use flat rate scheme in the first year of VAT registration, the rate will be reduced by 1%

7. VAT scheme

7.3.4 Disadvantage

- No input tax is recovered
- Business can apply for the flat rate scheme and annual accounting scheme at the same time.

Lecture example 7

Cool Kids Ltd has annual turnover of £84,900. 85% of the sales are standard rated and 15% are zero rated. Standard rated expenses are £14,100.

All figures are exclusive of VAT.

The relevant percentage for Cool Kids Ltd trade is 16.5%.

Show the VAT payable if:

(a) Cool Kids Ltd does not use the flat rate scheme.

(b) Cool Kids Ltd opts to use the scheme.

8. Import and export

8.1 Import

Postponed VAT accounting

When a UK VAT registered business import goods, the VAT charge is declared on the VAT return as output VAT, but can be reclaimed as input VAT on the same VAT return.

8.2 Export

When a UK VAT registered business exports goods, then the supply is zero-rated.

Supplies of services are outside the scope of VAT.

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Quizzes(self-practice)

Quiz 1

Which of the following are zero-rated supplies?
(1) Non-luxury food
(2) Books and newspapers
(3) Insurance
(4) Children's clothing
A.1, 2, 3 and 4
B.1, 2 and 4 only
C.3 and 4 only
D.1, 2 and 3 only

Quiz 1-A

The correct answer is **B**.
Insurance is exempt rather than zero-rated.

Quiz 2

Rodney is in the process of completing his VAT return for the quarter ended 31 December 2025. The following information is available:
Sales amounted to £72,500 in respect of standard rated sales to non-VAT registered customers.
On 2 November 2025, a sales invoice for £5,000 was issued in respect of a standard rated supply to a VAT registered customer (not included in the sales above). To encourage this previously late paying customer to pay promptly, Rodney offered a 10% discount for payment within 21 days of the date of the sales invoice. The customer paid within the 21-day period.
Standard rated materials amounted to £40,100.

Quiz 2

On 31 December 2025, Rodney wrote off impairment losses in respect of two invoices which were due for payment on 1 February 2025 and 1 August 2025. The amount of output VAT originally paid in respect of each invoice was £150 and £200 respectively.
Unless stated otherwise all of the above figures are exclusive of VAT.
What is Rodney's VAT liability for the quarter ended 31 December 2025?
A.£7,330
B.£7,030
C.£7,380
D.£7,230

Quiz 2-A

The correct answer is **D**.
VAT Return – Quarter ended 31 December 2025

Output VAT	£	£
Sales (72,500 × 20%)		14,500
Discounted sale (5,000 × 90% × 20%)		900
		15,400
Input VAT		
Materials (40,100 × 20%)	(8,020)	
Impairment losses (over six months)	(150)	
		(8,170)
		7,230

Quiz 3

Grey Ltd is a UK resident company registered for UK VAT. During the quarter ended 31 December 2025, Grey Ltd exported goods of £15,000 to a customer outside the UK. These goods has cost Grey Ltd £15,000 (exclusive of standard rated UK VAT). Grey Ltd also imported goods costing £10,000 from a supplier outside the UK.

What are the correct entries for Grey Ltd on their VAT return for the quarter ended 31 December 2025?

	Output VAT	**Input VAT**
A.	£5,000	£3,000
B.	£5,000	£5,000
C.	£2,000	£5,000
D.	£2,000	£3,000

Quiz 3-A

The correct answer is **C**.

Export:

When goods are exported from the UK by a registered UK taxable supplier, this is a zero-rated supply made in the UK. VAT registered exporters can recover UK input VAT attributable to the exported goods.

Output VAT	£15,000 × 0% = £0
Input VAT	£15,000 × 20% = £3,000

Quiz 3-A

Import:
Using postponed accounting, the import VAT is declared on the VAT return as output VAT, but can be reclaimed as input VAT on the same VAT return.

Output VAT	£10,000 × 20% = £2,000
Input VAT	£10,000 × 20% − £2,000

VAT return to 31 December 2025:

Output VAT = 0 + 2,000 = £2,000

Input VAT = 3,000 + 2,000 = £5,000

Quiz 4

Hampton Ltd has annual sales of £115,000 (excluding VAT). All sales are standard-rated. The company's standard-rated expenses are £12,600 per year (inclusive of VAT). The relevant flat-rate percentage for Hampton Ltd's trade is 11%.

What saving will there be for Hampton Ltd under the flat rate scheme for VAT?

A.£5,720
B.£8,250
C.£5,300
D.£7,106

Quiz 4-A

The correct answer is **A**.
Using the normal rules, Hampton Ltd will have to pay:

	£
Output VAT (115,000 × 20%)	23,000
Input VAT (12,600 × 1/6)	(2,100)
	20,900

Under the flat rate scheme Hampton Ltd's VAT liability will be £(115,000 + 23,000) × 11% = £15,180.

The flat rate scheme is a saving of £5,720 (20,900 − 15,180).



谢谢观看

THANK FOR WATCHING